

3.2

Costs and economies of scale

Explain and calculate:

- Fixed, variable, total, average, marginal costs

Explain:

- Short run and long run in terms of fixed and variable factors

Explain, with the aid of a diagram:

- The law of diminishing returns
- Internal and external economies of scale
- Diseconomies of scale
- Minimum efficient scale

Evaluate:

- Causes of economies and diseconomies of scale
- The significance of economies and diseconomies of scale